

Market Status Framework V2 - Market Stress Index (MSI)

Vision

A morning brief should behave like a meteorologist rather than a quote terminal. It should synthesize many market signals into a coherent regime assessment while preserving the evidence behind that assessment.

Core Concept

Every instrument casts a weighted vote toward one or more market regimes instead of merely reporting Quiet or Stressed. The combined votes produce a Market Stress Index (MSI) and a confidence score.

Candidate Regimes

Risk-On
Sector Rotation
Sector Stress
Broadening Risk-Off
Systemic Stress

Voting Examples

SOXS contributes evidence toward Sector Stress.
DRAM ETF contributes evidence toward Sector Stress.
VIX and VVIX together contribute evidence toward Broadening Risk-Off.
DXY plus commodities can vote for Inflationary or Deflationary regimes depending on relationships.

Confidence

Confidence increases when independent asset classes agree, signals persist through time, and contradictory evidence decreases.

Illustrative Output

Market Regime: Sector Stress
Confidence: 82%
Stress Score: 64/100
Trend: Rising

Leaders: DRAM ETF, Kioxia, SOXS
Confirmations: NQ Futures, Nikkei Futures
Non-confirmations: Credit, Treasury Volatility, DXY

Historical Context

The engine should compare today's regime with yesterday's and explain why the regime changed. That creates a narrative instead of isolated daily observations.

Weather Analogy

Just as weather forecasts combine radar, pressure, humidity, satellite imagery and numerical models into one forecast, the dashboard should combine equities, volatility, commodities, FX and

rates into one market forecast.

Future Enhancements

Possible improvements include Bayesian confidence updates, regime transition probabilities, anomaly detection, and backtesting to determine which combinations of signals historically mattered most.

Key Principle

The dashboard should answer: What regime are we in? How confident are we? Which instruments are leading? What evidence would invalidate today's interpretation?